

INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2015

Table of Contents

1.0 Table of Contents	Table	Graph	Page
Industry Overview	1		4
The Number of Operational Institutions	2,3		5
Business Written		1	6
Business Composition	4	2	6,7
Not taken up policies	5		8
Claims Aged Analysis	6		8
Debtors Aged Analysis	7		9
Earnings	8	3	10,11
Asset Quality	9	4	11,12
Capitalisation and Solvency	10	5	13,14
Circulars, Statutory Instruments ¹	11		15
Conclusion			15

2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'15	2015
'14	2014
H1	Half year
Var	Variance
F. Funeral	First Funeral
NOTE:	ALL MONETARY FIGURES ARE IN USD

This report is based on direct funeral insurers only and does not include funeral business underwritten by life companies.

3.0 Industry Overview

The funeral industry wrote \$36.5 million in net premiums (Dec 2014: \$35.9 million). The premiums written this year are 1% less than the premiums underwritten for the same period last year. This shows that the funeral industry has largely remained subdued. Total costs decreased by 7% compared to year ended 2014. Cumulative technical profit for the period increased to \$6.2 million (Dec 2014:\$3.9 million).The expense and combined ratios were reportedly 55% and 81% respectively.

As at 31 December 2015, total industry assets were \$51 million, a 9% growth from \$47.3 million reported for the same period last year.

The prescribed assets are still below the required 7.5% with the average remaining below 1%. The Commission will continue to employ corrective measures until compliance is achieved.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by the Funeral Assurance Industry for the period ended 31 December 2015

Financial Aspect	Funeral Assurers		
	Dec-14	Dec-15	Growth
Gross Premiums Written(\$000)	35,938	36,499	2%
Net Premiums Written (\$000)	35,923	36,500	2%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	11,079	9,476	-14%
Total Net Claims (\$000)	11,079	9,476	-14%
Management Expenses (\$000)	17,512	16,930	-3%
Commissions (\$000)	3,284	3,139	-4%
Total Costs(\$000)	31,875	29,529	-7%
Technical Profit(\$000)	3,917	6,971	78%
Expense Ratio	58%	55%	-3%
Claims Ratio	31%	26%	-5%
Combined Ratio	89%	81%	-8%
Total Assets (\$000)	47,349	51,440	9%
Total Liabilities (\$000)	18,263	21,062	15%
Current Assets	17,743	17,211	-6%
Current Liabilities	10,690	12,672	2%
Capital(\$000)	29,086	30,378	4%
Capital to liability Ratio	159%	144%	-15%
Prescribed Assets (\$000)	63	83	32%
Prescribed Asset Ratio (%)	0	0	0

4.0 Update on Operations

The table below shows the total number of registered agents as at 31 December 2015 and the total workforce employed by the funeral industry for the same period. Players are encouraged to ensure that all agents are registered with the Commission and that they are paying all statutory levies.

Table 2: Registered Agents and Operational Staff

Name Of Company	Corporate Agents	Sole Agents	Staff	Branches
Cell	0	0	13	2
Doves	0	90	60	24
First Funeral	0	60	48	10
Foundation	0	18	28	1
Moonlight	0	493	122	34
Passion	0	4	5	3
Ruvimbo	0	6	50	8
Sunset	0	10	14	1
Vineyard	3	11	58	5
Total	3	692	398	88

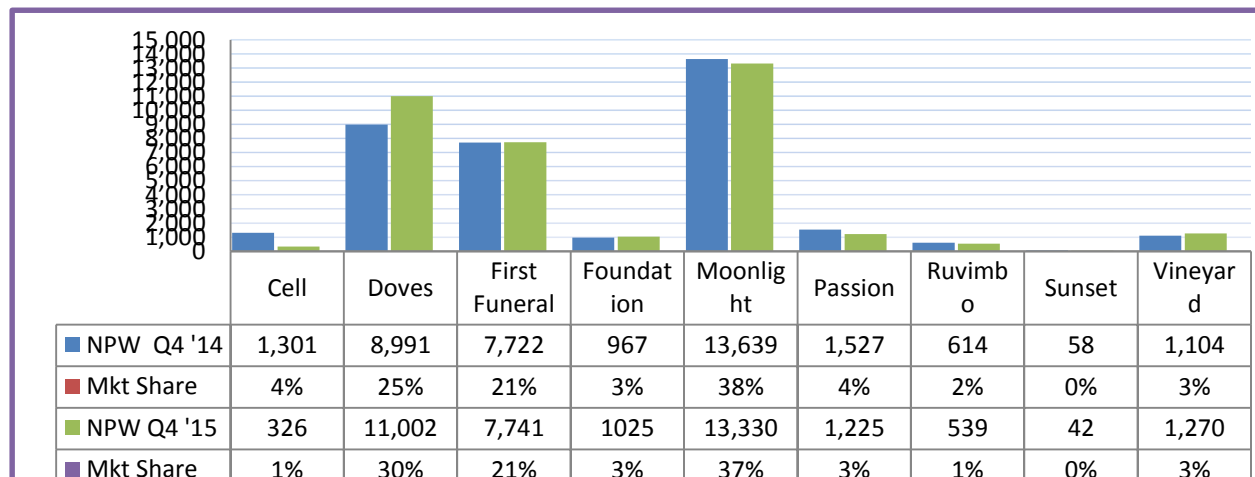
For the year ended 31 December 2015, players wrote \$36.5 million in Net Written Premiums (Dec 2014:\$35.9 million), a 2% growth compared to the same period last year (See Table 3, below). The stagnant growth rate suggests challenges such as liquidity squeeze, job cuts and a shrinking market base.

Table 3: Net Premium Distribution by Company for the year Ended 31 December 2015

Name Of Company	Dec 2014(000)	Dec 2015(000)	Growth
Cell	1,301	326	-75%
Doves	8,991	11,002	22%
First Funeral	7,722	7,741	0%
Foundation	967	1,025	6%
Moonlight	13,639	13,330	-2%
Passion	1,527	1,225	-20%
Ruvimbo	614	539	-12%
Sunset	58	42	-28%
Vineyard	1,104	1,270	15%
Total	35,923	36,500	2%

For the period ended 31 December 2015; three funeral assurers wrote 88% of net business with the remaining six players sharing the balance of 12% of the business. This shows a highly concentrated market.

Figure1: Market Share by Net Premium Written for the year Ended 31 December 2015



5.0 Business Composition

For the period under review, the industry wrote \$36.5 million in gross premiums.

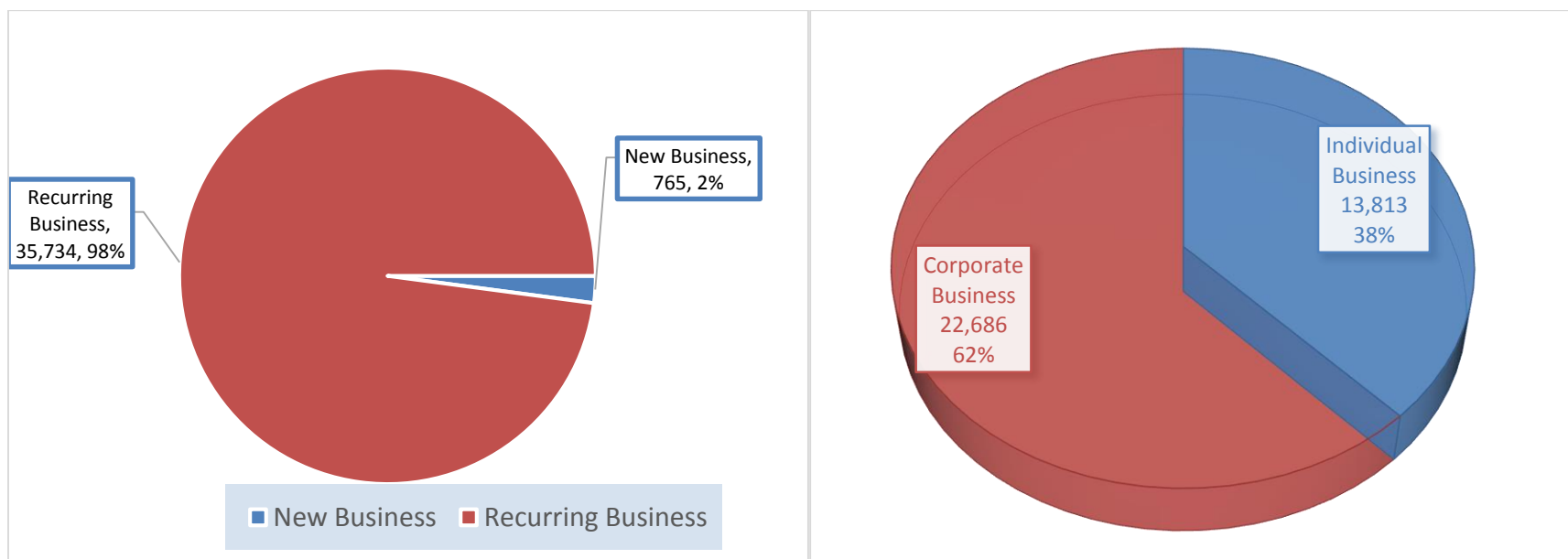
In the period under review, Individual policies generated 38% of the total business underwritten while corporate business contributed 62% of the gross premiums written by the funeral industry. New business has been elusive with funeral assurers only underwriting 2% of the total business as individual policies. The remainder of the business, 98%, has been recurring. The Commission encourages the industry to continue efforts to tap into the uninsured informal market in the short to medium term so as to mobilize new business.

The composition of business underwritten for the period ended 31 December 2015 is as shown in table 4 and Figure 2 below.

Table 4: Business Composition by Company for the Cumulative Period Ended 31 December 2015

Co. Name	Individual Business (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Dec-14	Dec-15	Growth (%)
	Dec-14	Dec-15	Growth (%)	Dec-14	Dec-15	Growth (%)	Dec-14	Dec-15	Growth (%)	Dec-14	Dec-15	Growth (%)			
Cell	0	0	0%	503	0	-100%	0	1	0%	813	325	-60%	1,316	326	-75%
Doves	119	61	-49%	1,325	1,498	13%	203	360	77%	7,344	9,083	24%	8,991	11,002	22%
F. Funeral	28	8	-71%	7,694	7,733	1%	0	0	0%	0	0	0%	7,722	7,741	0%
Foundation	7	5	-29%	760	1,020	34%	0	0	0%	0	-	0%	967	1,025	6%
Moonlight	0	138	0%	128	3,140	2353%	159	0	-100%	13,352	10,052	-25%	13,639	13,330	-2%
Passion	8	20	150%	389	383	-2%	19	49	158%	1,111	773	-30%	1,526	1,225	-20%
Ruvimbo	0	44	0%	614	205	-67%	0	41	0%	0	249	0%	614	539	-12%
Sunset	0	0	0%	59	42	-29%	0	0	0%	0	0	0%	59	42	-29%
Vineyard	1	7	600%	810	448	-45%	13	31	138%	280	784	180%	1,104	1,270	15%
TOTAL	163	283	74%	12,282	14,469	18%	394	482	22%	22,900	21,266	-7%	35,938	36,500	2%

Figure 2: Business Composition for the Cumulative Period Ended 31 December 2015 (000)



7.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$62 000 and generally acceptable lapse ratios (see Table 5, below).

Table 5: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	0	0	0
Doves	0	0	0
First Funeral	8	18	0
Foundation	9	31	0
Moonlight	28	93	0
Passion	0	0	0
Ruvimbo	17	27	20
Sunset	0	0	0
Vineyard	0	11	5
Total	62	N/A	N/A

8.0 Claims Aged Analysis

The total outstanding claims for the period amounted to \$41 000. Shorter claims payment periods are a critical success factor in our industry, more so in the funeral sector.

Table 6: Claims Aged Analysis (000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	2	0	8	0	0	0	0	4	0	14
31-60days	0	0	2	0	0	0	0	0	0	2
61-90days	0	0	0	0	0	0	0	0	0	0
91-120days	0	0	0	0	0	0	0	0	0	0
<121 days	0	0	0	25	0	0	0	0	0	25
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	2	0	10	25	0	0	0	4	0	41

9.0 Debtors Aged Analysis (000)

For the current reporting period, the industry recorded total premium debtors amounting to \$3.1 million or 8% of the total premiums underwritten by the industry. Players are encouraged to come up with tailor-made premium payment methods which are in sympathy with policyholders' income streams as way of managing their debtors(see table 7)

Table 7: Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	4	0	0	2	242	48	10	0	157	463
31-60days	6	0	41	5	263	43	22	0	142	522
61-90days	3	0	154	6	210	41	29	0	32	475
91-120days	0	0	41	14	310	29	78	0	31	503
<121 days	0	0	0	67	636	391	0	0	85	1,179
Total	13	0	298	94	1,661	552	139	0	447	3,142

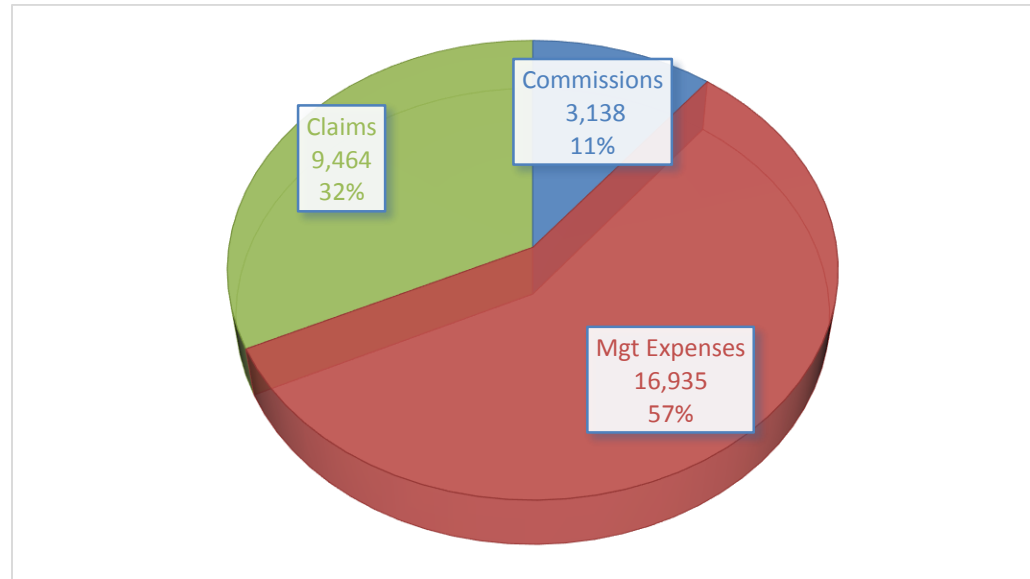
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 8 and Figure 3 below.

Table 8: Key Earnings Indicators by Company for the Year Ended 31 December 2015

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	14-Dec	15-Dec	14-Dec	15-Dec	Growth	14-Dec	15-Dec	Growth	14-Sep	15-Dec	Growth	14-Sep	15-Dec	Growth	14-Sep	15-Sep	Growth
Cell	1,301	326	22	2	-91%	5	1	-80%	750	433	-42%	777	436	-42%	60%	134%	74%
Doves	8,991	11,002	4,457	4,300	-4%	776	901	16%	2,573	2,689	5%	7,806	7,887	1%	87%	72%	-15%
F/Funeral	7,722	7,741	2,268	2,134	-6%	1,693	1,632	-4%	1,998	2,004	0%	5,959	5,770	-3%	77%	75%	-2%
Foundation	967	1,025	100	139	39%	61	80	31%	725	732	1%	886	951	7%	92%	93%	1%
Moonlight	13,639	13,330	3,645	2,288	-37%	639	453	-29%	9,982	9,549	-4%	14,266	12,290	-14%	105%	92%	-13%
Passion	1,527	1,225	302	312	3%	42	3	-93%	579	581	0%	923	896	-3%	60%	73%	13%
Ruvimbo	614	539	55	42	-24%	18	18	0%	359	356	-1%	432	416	-4%	70%	77%	7%
Sunset	58	42	1	1	0%	1	0	-100%	43	24	-44%	45	25	-42%	78%	60%	-18%
Vineyard	1,104	1,270	229	246	7%	49	50	2%	503	562	12%	781	858	10%	71%	68%	-3%
Total	35,923	36,500	11,079	9,464	-15%	3,284	3,138	-4%	17,512	16,930	-3%	31,875	29,529	-7%	89%	81%	-8%

Figure 3: Cost Distribution for the Year Ending 31 December 2015



For the period under review, operational costs amounted to \$17 million or 57% of total costs (Dec 2015: \$17 million or 37%); claims—\$9 million or 32% and total commission was 11% (\$3.1 million) of total costs. Cost management is a critical survival strategy in this challenging economic climate.

The industry recorded an average combined ratio of 81% (Dec 2015: 89%) and claims ratio of 26%.

11. Asset Quality

The total asset base of the funeral industry as at 31 December 2015 is shown in Table 9 and Figure 4a below.

Table 9: Funeral industry Asset Base as at 30 September 2015

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Dec-14	Dec-15	Var	Sep-14	Dec-15	Var	Dec-14	Dec-15	Var	Dec-14	Dec-15	Var	Sep-14	Dec-15	Var	Sep-14	Dec-15	var	Sep-14	Dec-15	Growth
Cell	295	883	199%	16	16	0%	0	98	0%	826	13	-98%	82	36	-56%	0	0	0%	1,219	1,046	-14%
Doves	3,844	3,544	-8%	5	5	0%	103	615	497%	27	175	548%	11,771	14,155	20%	23	0	-100%	15,773	18,494	17%
F.Funeral	1,199	938	-22%	16	37	131%	0	0	0%	90	22	-76%	6,160	6,720	9%	0	0	0%	7,465	7,717	3%
Foundation	1,395	1,395	0%	0	0	0%	34	35	3%	28	38	36%	678	716	6%	5	40	700%	2,140	2,224	4%
Moonlight	9,357	10,653	14%	0	0	0%	0	9	0%	28	9	-68%	4,068	4,040	-1%	16	16	0%	13,469	14,727	9%
Passion	639	640	0%	0	0	0%	0	0	0%	38	26	-32%	999	626	-37%	0	0	0%	1,676	1,292	-23%
Ruvimbo	1,086	1,124	3%	0	0	0%	41	0	-100%	16	7	-56%	750	1,037	38%	2	2	0%	1,895	2,170	15%
Sunset	1,686	1,693	0%	0	0	0%	0	0	0%	0	0	0%	23	12	-48%	0	0	0%	1,709	1,705	0%
Vineyard	1,310	1,274	-3%	3	3	0%	38	54	42%	38	38	0%	597	671	12%	17	25	47%	2,003	2,065	3%
Total	20,811	22,144	6%	40	61	53%	216	811	275%	1091	328	-70%	25,128	28,013	11%	63	83	32%	47,349	51,440	9%

Figure 4a: Asset Base as at 31 December 2015

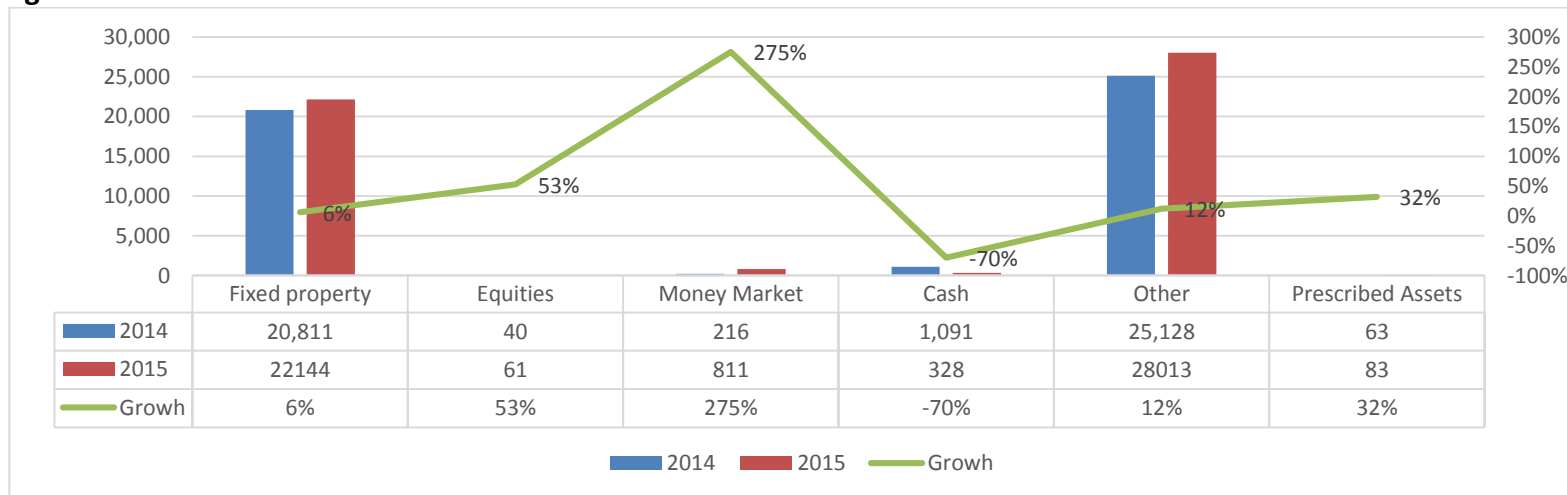
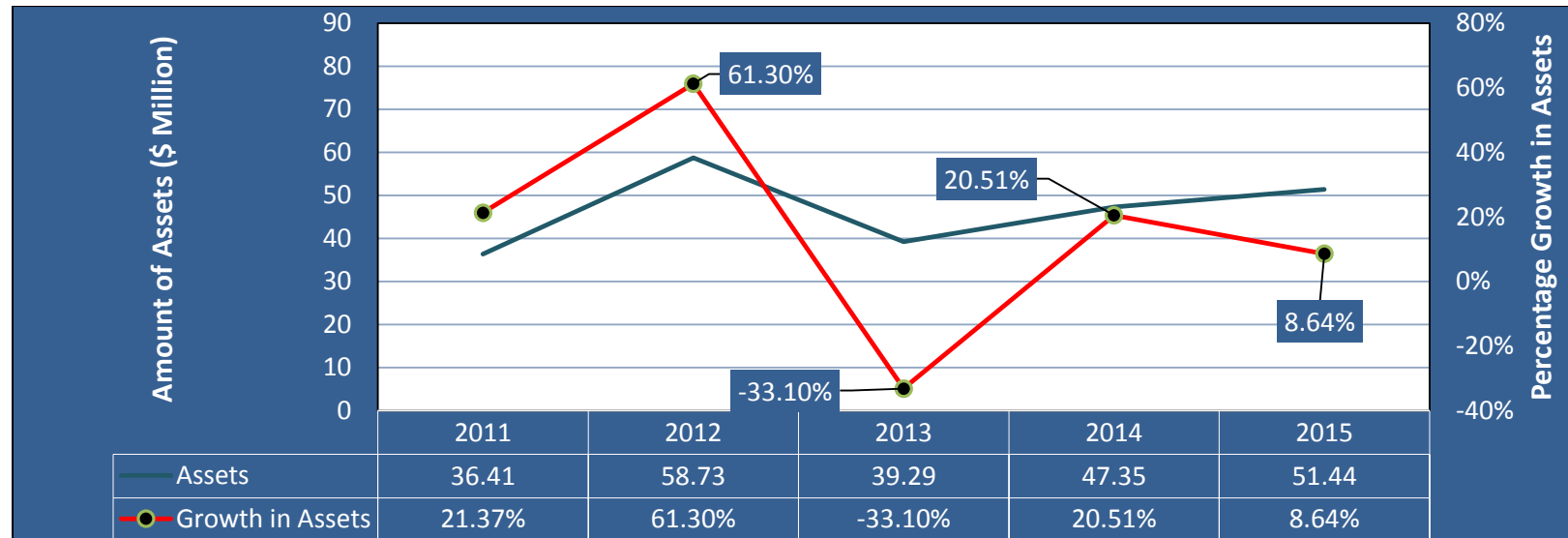


Figure 4b: Asset Growth



As at 31 December 2015, the total asset base was highly skewed towards fixed assets-43% or \$22million (Dec 2014:44% or \$20million), equities-\$0.061million or 0%(Dec 2014: 0.040million or 0 %), money market-\$0.811 million or 2 %(Dec 2014: 0.21 million or 0%) cash assets-1% or \$0.329million (Dec 2014:\$1.09m or 2%) and other assets-\$28million or 54% (Dec 2014: 53% or \$25 million). The uptake of prescribed paper has been low. The Commission will continue to ensure corrective action is taken against all those who are still not compliant b fining players and monitoring adherence to approved compliancy plans.

The yearly growth of assets has been slower as compared to earlier years of dollarization.

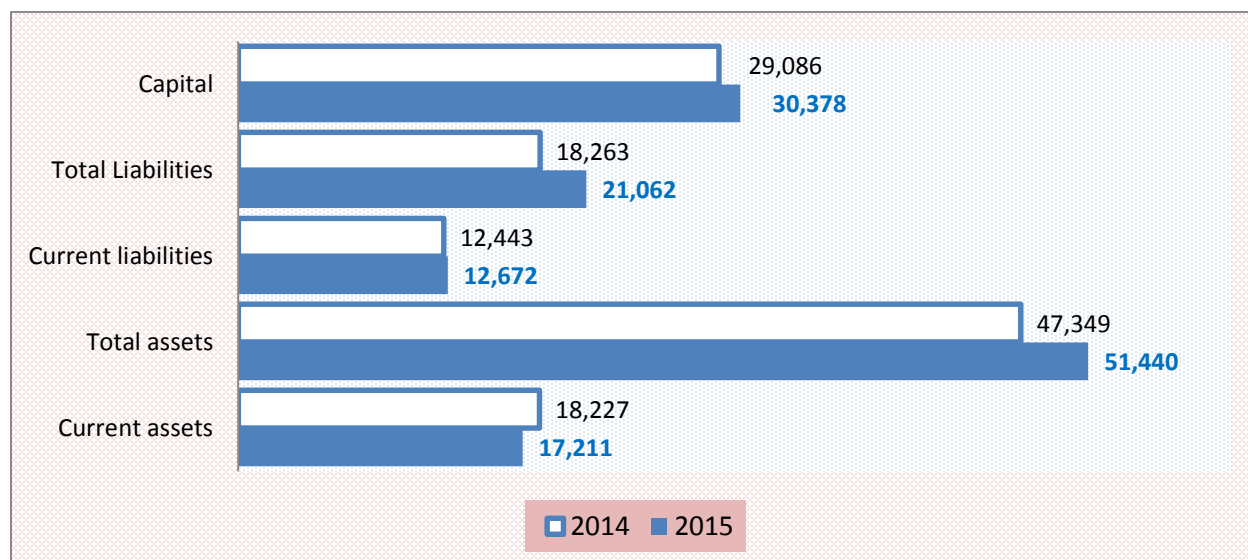
12. Capitalization and Solvency

The Commission is holding discussions with the three entities whose capital levels are below the minimum required of \$1.5 million.

Table 10: Levels of Capitalization, Liquidity and Solvency Indicators as at 31 December 2015

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	14-Dec	15-Dec	%	14-Dec	15-Dec	%	14-Dec	15-Dec	14-Dec	15-Dec	%	14-Dec	15-Dec	%	14-Dec	15-Dec	%	14-Dec	15-Dec	%
Cell	923	163	-82%	708	293	-59%	1,219	1,046	872	342	-61%	347	704	103%	40%	206%	166%	130%	56%	-74%
Doves	5,683	8,732	54%	1,269	1,245	-2%	15,773	18,494	1,919	2,198	15%	13,853	16,296	18%	722%	741%	19%	448%	701%	253%
F. Funeral	6,265	2,080	-67%	374	307	-18%	7,465	7,717	659	2,929	344%	6,806	4,788	-30%	1033%	163%	-	1675%	678%	-
Foundation	569	590	4%	477	459	-4%	2,140	2,224	1,786	1,626	-9%	354	597	69%	20%	37%	17%	119%	129%	10%
Moonlight	3,136	4,059	29%	8,660	9,030	4%	13,469	14,727	11,909	12,337	4%	1,561	2,390	53%	13%	19%	6%	36%	45%	9%
Passion	904	493	-45%	317	396	25%	1,676	1,292	317	396	25%	1,359	896	-34%	429%	226%	203%	285%	124%	161%
Ruvimbo	206	444	116%	389	638	64%	1,895	2,170	389	638	64%	1,506	1,532	2%	387%	240%	147%	53%	70%	17%
Sunset	1	12	1100%	110	182	65%	1,709	1,705	110	199	81%	1,599	1,506	-6%	1454%	757%	697%	1%	7%	6%
Vineyard	540	637	18%	139	122	-12%	2,003	2,065	302	397	31%	1701	1,668	-2%	563%	420%	143%	388%	522%	134%
Total	18,227	17,211	-6%	12,443	12,672	2%	47,349	51,440	18,263	21,062	15%	29,086	30,378	4%	159%	144%	-15%	146%	136%	-10%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summary Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations:-

Table 10: Issued Circulars and Statutory Instruments for the Quarter

Details	Subject Matter	Issue Date
Circular No. 1 of 2015	Clarification of the implementation of circular 2 of 2013, 1 of 2014 and circular 8 of 2014	20 January 2015
Circular No. 2 Of 2015	JOINT PAAB- IPEC New Auditors Report Programme: Half Day Seminar at Cresta Lodge: 13 August 2015	28 July 2015
Circular No. 3 Of 2015	Risk Survey : Feedback on Results	10 September 2015
Circular No. 4 of 2015	Certificate of proficiency in Trusteeship	20 November 2015

Table 11: List of Approved Prescribed Asset Paper

Issuer	Application Year	Purpose of Issue	Bond Amnt and coupon rate	Amount raised	Uptake Ratio	Current status
Agricultural Marketing Authority (AMA Bills)	2014	Finance the 2014/2015 Agricultural Season	\$105million (First trench \$55million and second trench of \$50million). Coupon rate (9-12%)	\$58,9million (First trench \$53.6m and Second trench \$5.008m)	56% (First trench 97% and second trench 10.6%)	Closed
ZB Bank-Agrobills	2014	Finance the 2014/2015 Agricultural season	\$10million, 11%p.a coupon rate	\$10million	100%	Closed
Fidelity Life	2014	Finance servicing of the South view High density stands	\$10million, coupon rate 10%p.a	12million	120%	Closed
Agribank and FBC- (AgroBills)	2014	Finance the 2014/2015 agricultural season	\$15million, Coupon rate 10%p.a	15million	100%	Closed
Afreximbank	2015		\$100million	Approved on 08 Jan 2015. No update on amount raised and uptake ratios		
Old Mutual		Finance Budiro Housing Project	\$62.8million at a coupon rate... and tenure of 10 years			
IDBZ	2014	provide bridging finance to implementing agencies of Government infrastructure projects	\$10million, Coupon rate 7%p.a	\$10million	100%	Closed
Bindura Nickel Corporation	2014	Resuscitate the Nickel Smelter and beneficiation of Nickel	\$20million, 10%p.a coupon rate	\$20million	100%	Closed
ZETDC	2014	To support the energy sector	\$15million at 8%	\$14.02million	100%	Closed
ZPC KSPS	2014	To support the energy sector	\$50million at 8%	\$25.05 million raised to date	50%	Open

Agribank and FBC	2015	Support the 2015/2016 agricultural season	\$10million at a coupon rate of 10%p.a	Initial application of US\$10million approved on the 09 th of September 2015. Second application of \$10million approved on the 06 November 2015. The total amount is now \$20million		Open
Agricultural Marketing Authority (AMA Bills)	2015	Finance the purchase of grain by the Grain Marketing Board	\$50million at a coupon rate of 10.5%p.a	Application approved on the 11 th of Sep 2015		Open
ZB Agro Bills	2015	Support the 2015/2016 agricultural season	\$5million at 8%p.a coupon rate	Application approved on the 30 th of Sep 2015.		Open
Homelink	2015	Development of stands and construction of housing units	Initial bond amount of \$15m. However the applicant is targeting to raise \$50million to complete the project.	Application approved		Open

Conclusion

The year ending 31 December 2015 indicates that growth has been stagnant. Funeral companies are still facing challenges in premium collection and liquidity. The industry is still not compliant with the prescribed assets minimum stipulated. The Commission will introduce a micro insurance framework in 2016 and downgrade all companies that fail to meet the minimum capital thresholds.